

2Q24

Silicon Valley Office Market Overview



NEWMARK

Market Observations



- The region’s labor market showed signs of stabilizing. After eight months of declines, we have now tracked three months of modest growth, a welcome sign. While employment growth has been slower in this market relative to the U.S., the unemployment rate has fallen more sharply indicating a tighter labor pool.
- Layoffs in the large tech companies outpaced employment gains in the AI space, something that we are closely monitoring. Professional and business services, such as law and consulting firms, are staffing up in anticipation of an increase in work which bodes well for the office market, especially Class A buildings.
- Following along with the overall employment showing signs of stabilizing, office-using employment ticked up in the first five months of 2024 after sharp declines in the previous few months. However, the level of office-using employment is still below the peak from one year ago. Small job growth in the AI sector was not enough to counter the overall decline in the information services sector.

Major Transactions

- A semiconductor company accounted for the largest lease in the second quarter in the Santa Clara submarket, which was slightly larger than the largest lease in the first quarter.
- One noteworthy trend for the first half of 2024 is that the bulk of the leases signed, nearly 50%, were for new deals whereas this past two years renewals comprised most of the activity.
- We tracked at least 154 office transaction in the second quarter alone, bringing the total for the first half of the year to more than 300 deals. We are currently tracking 4.6 million square feet of active tenants in the market, which is far below the 16-year market average of 8.2 million square feet.

Leasing Market Fundamentals

- Given the leasing activity in the first half of the year, we might be at an inflection point in the office market. Net absorption was positive through the second quarter as the combination of sublease space and new construction that has been delivered to the market slowed.
- Despite the shrinking supply of sublease space, more direct available space came back on the market in the first half of 2024 pushing the overall vacancy rate up to 19.4% in the second quarter from 18.8% at year-end 2023.
- Asking rents in Silicon Valley rose to \$5.10/SF full service in 2023 and have remained relatively steady at \$5.12/SF full service so far in 2024. While full service asking rents are flat, concessions, including TIs and free rent, still play a big part in lease negotiations. In addition, as companies continue to look for ways to bring employees back to the office, amenities including flexible workspaces, more conference rooms, and up-to-date infrastructure also play a big role.

Outlook

- We believe that we may be at an inflection point in the market as there are a few positive signs in both the economy as well as the office market.
- We are closely watching the AI space, tracking the investments and also leasing activity. As AI companies expand, law firms and professional and business services firms are growing as well to be clustered near these AI companies.
- We believe that the uncertainty in the market caused by higher interest rates, the tense election year, and the right-sizing of tech tenants will likely cause the overall vacancy rate to hover in and possibly above its current level. Overall class A rents reached their highest level in more than ten years to \$5.48/SF full service, a 5.3% increase from the previous quarter and nearly 3.0% from the same time last year. We forecast that the demand/ supply imbalance will continue to hamper any real growth in effective rents.

1. Economy
2. Leasing Market Fundamentals
3. Appendix

2Q24

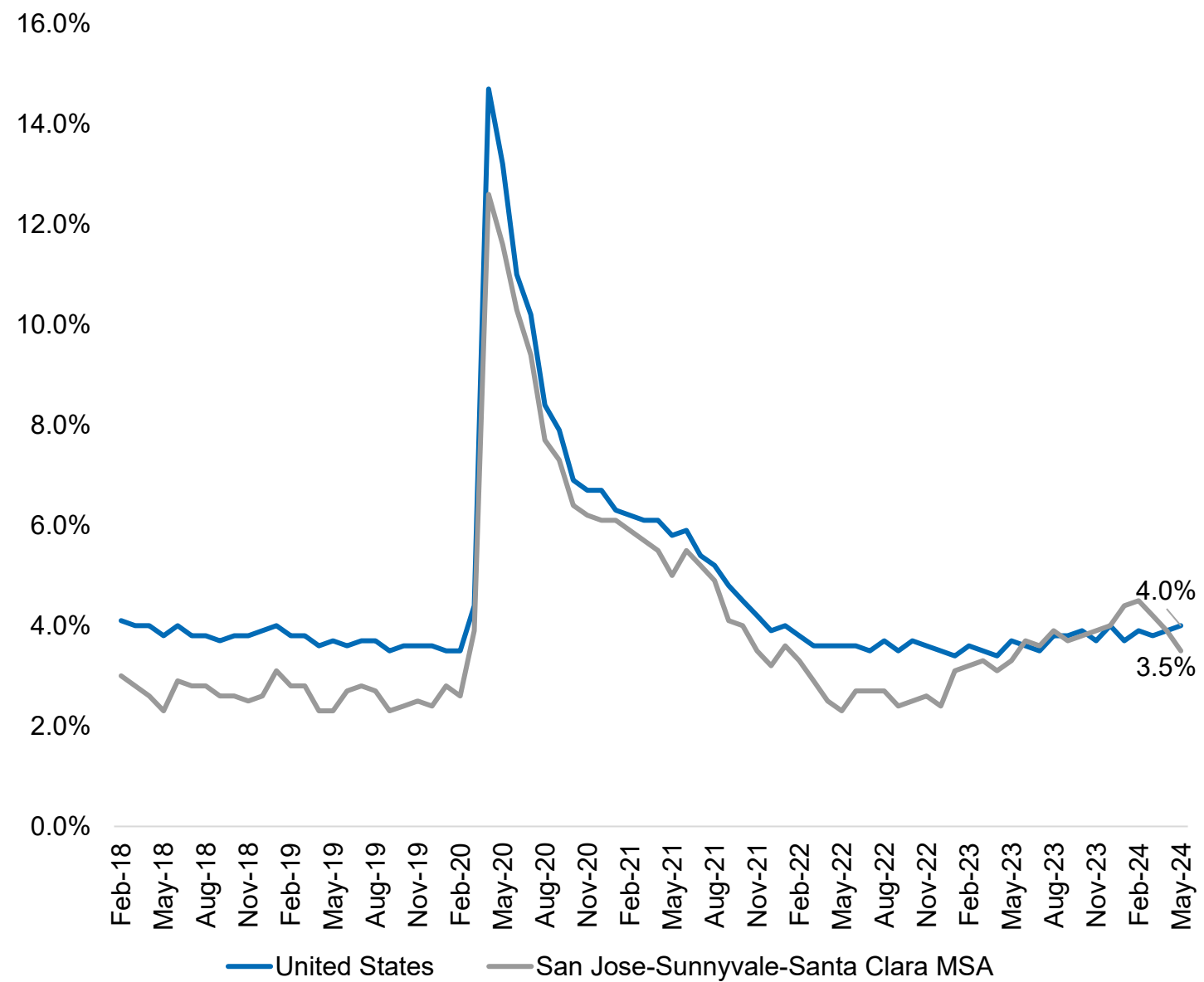
Economy



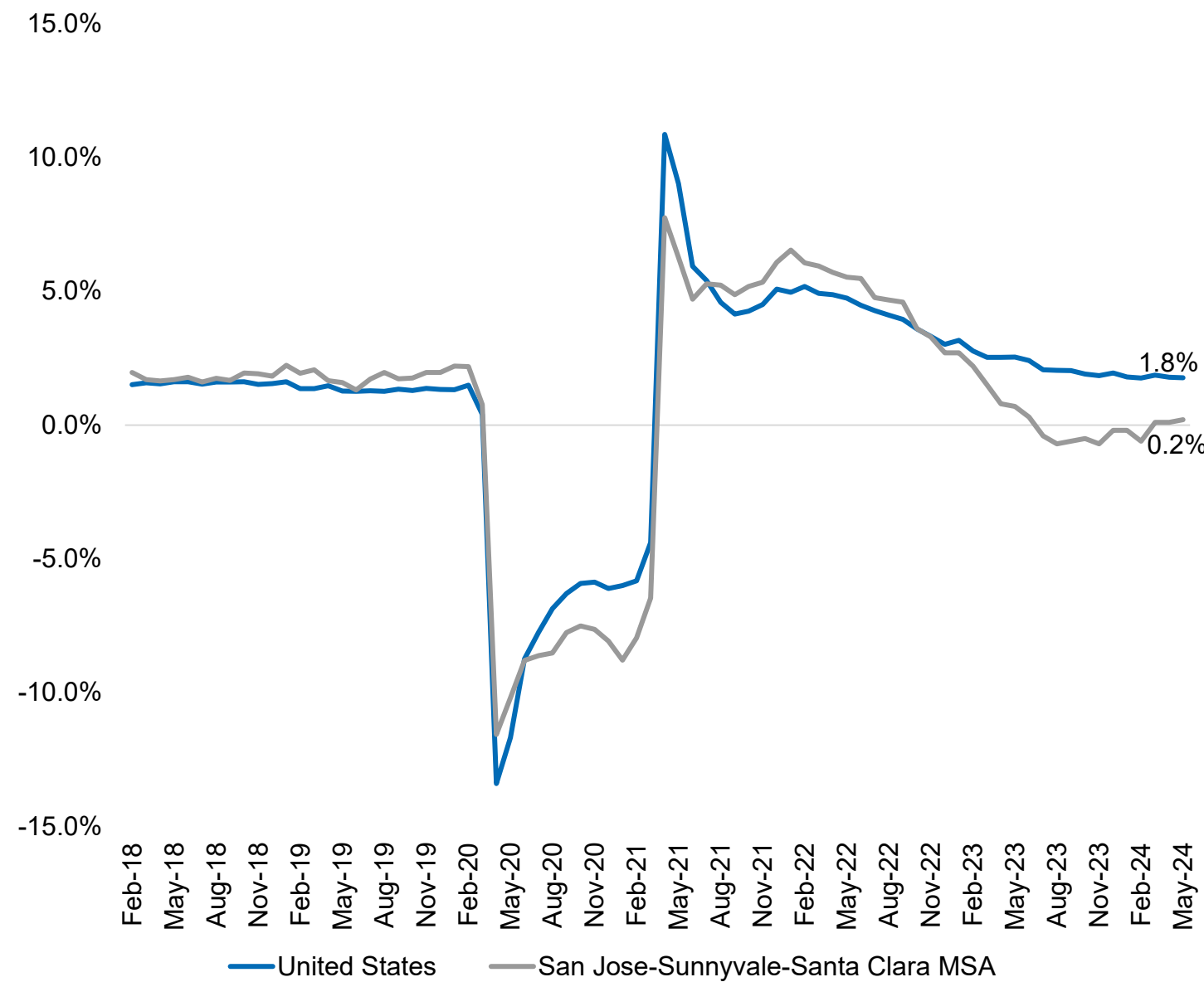
Employment Growth Appears to Be Stabilizing

The San Jose-Sunnyvale-Santa Clara MSA's economy showed signs of stabilizing, adding a modest 0.2% job growth year-over-year. This is the third month in a row with year-over-year growth, a welcome change from eight months of declines. The overall unemployment rate has steadily ticked down the last three months to 3.5%, a 100 bps drop during the period. While employment growth has been slower in this market relative to the U.S., the unemployment rate has fallen more sharply indicating a tighter labor pool.

Unemployment Rate, Seasonally Adjusted



Nonfarm Payroll Employment, Non-Seasonally Adjusted, 12-Month % Change

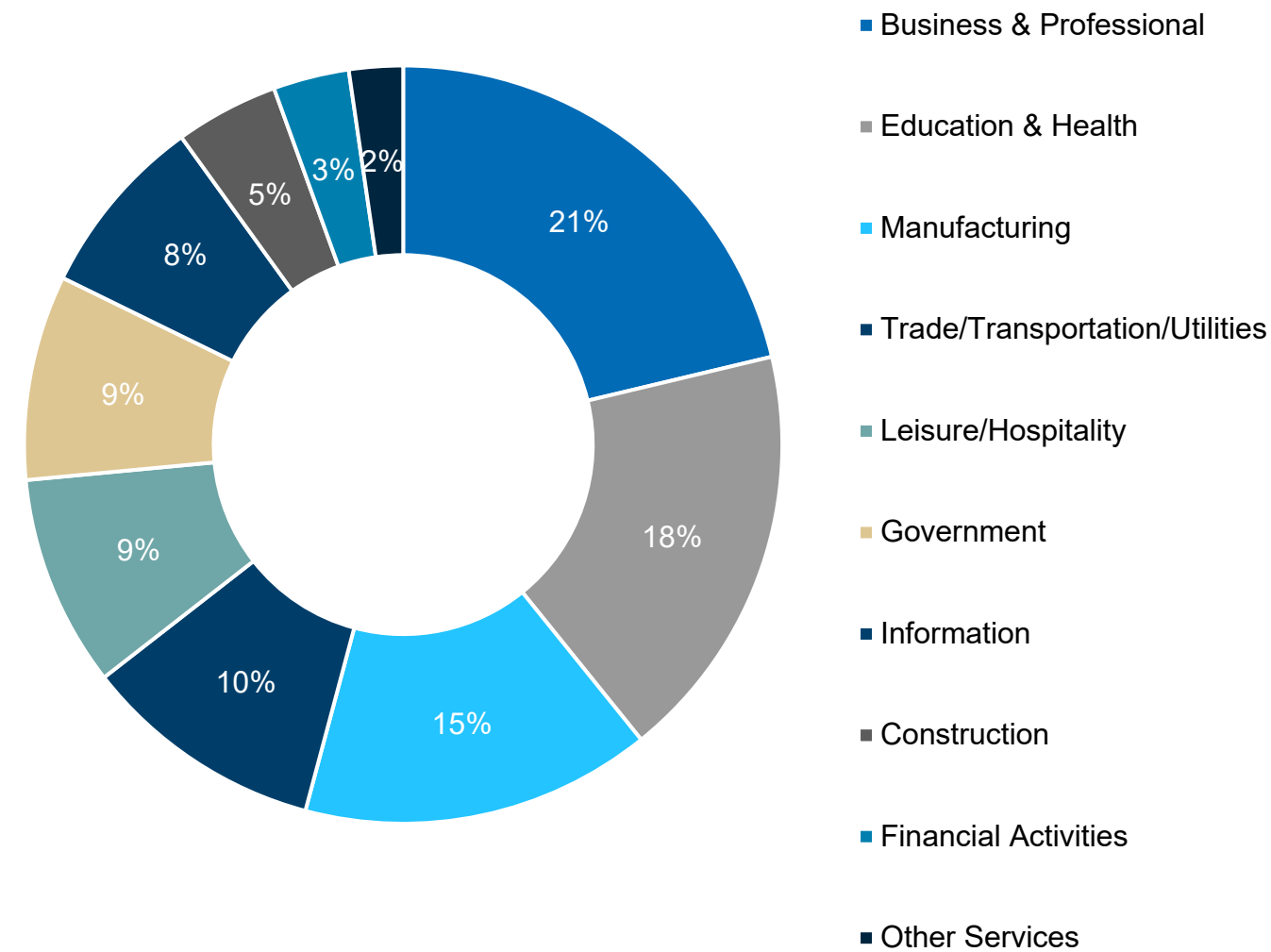


Source: U.S. Bureau of Labor Statistics, San Jose-Santa Clara-Sunnyvale

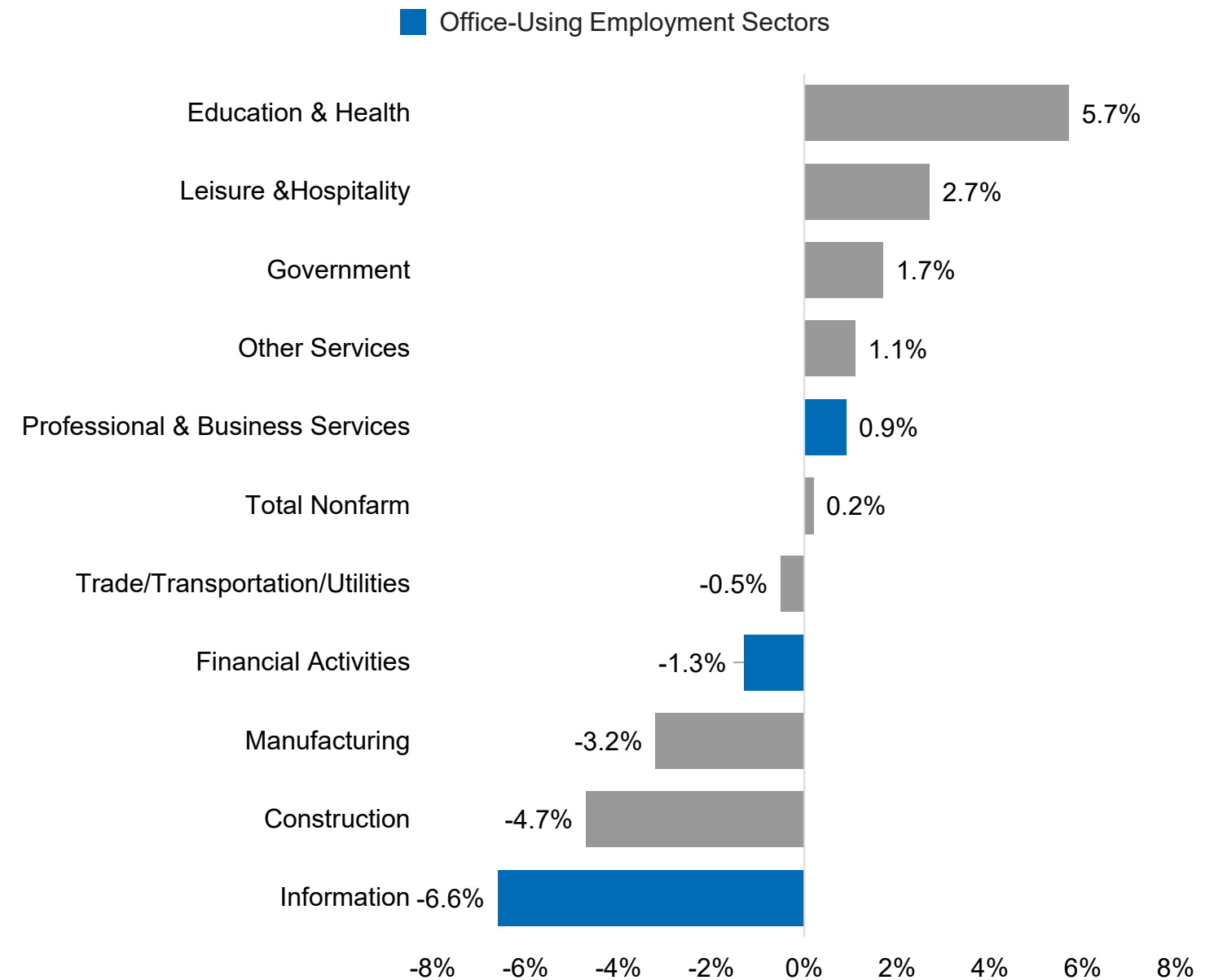
The Tech Sector Decline Continued to Drag On Overall Employment

Despite strong employment growth in the Education & Health and Leisure & Hospitality sectors, job losses in the Tech sector dragged down overall employment growth to a mere 0.2% from the same time last year. Layoffs in the large tech companies that occupy large blocks of space in Silicon Valley outpaced employment gains in the AI space, something that we are closely monitoring. As a result of growth in the AI sector, professional and business services, such as law and consulting firms, are staffing up in anticipation of an increase in work.

Employment by Industry, May 2024



Employment Growth by Industry, 12-Month % Change, May 2024

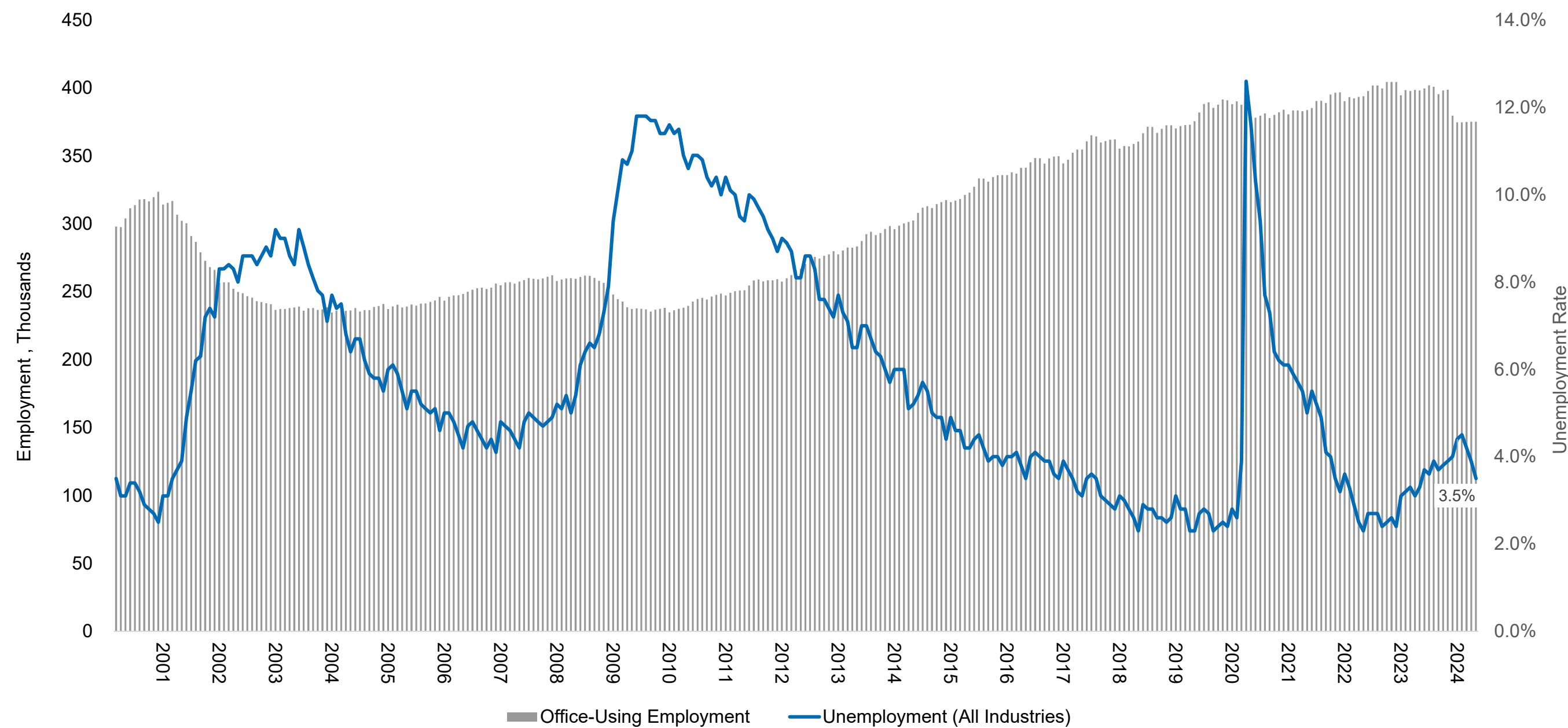


Source: U.S. Bureau of Labor Statistics, San Jose-Santa Clara-Sunnyvale, layoffs.fyi
Note: May 2024 data is preliminary.

Office-Using Employment Showed Signs of Improving

Following along with the overall employment showing signs of stabilizing, office-using employment ticked up in the first five months of 2024 after sharp declines in the previous few months. However, the level of office-using employment is still below the peak from one year ago. Small job growth in the AI sector was not enough to counter the overall decline in the information services sector. However, job in the professional services sector is starting to show signs of life, which bodes well for the office market, especially Class A buildings.

Office-Using Employment* and Unemployment Across All Industries



Source: U.S. Bureau of Labor Statistics, San Jose-Santa Clara-Sunnyvale
Note: February 2024 data is preliminary.
*Office-using employment includes employment in the following industry sectors: Professional & Business Services, Financial Activities and Information.

2Q24

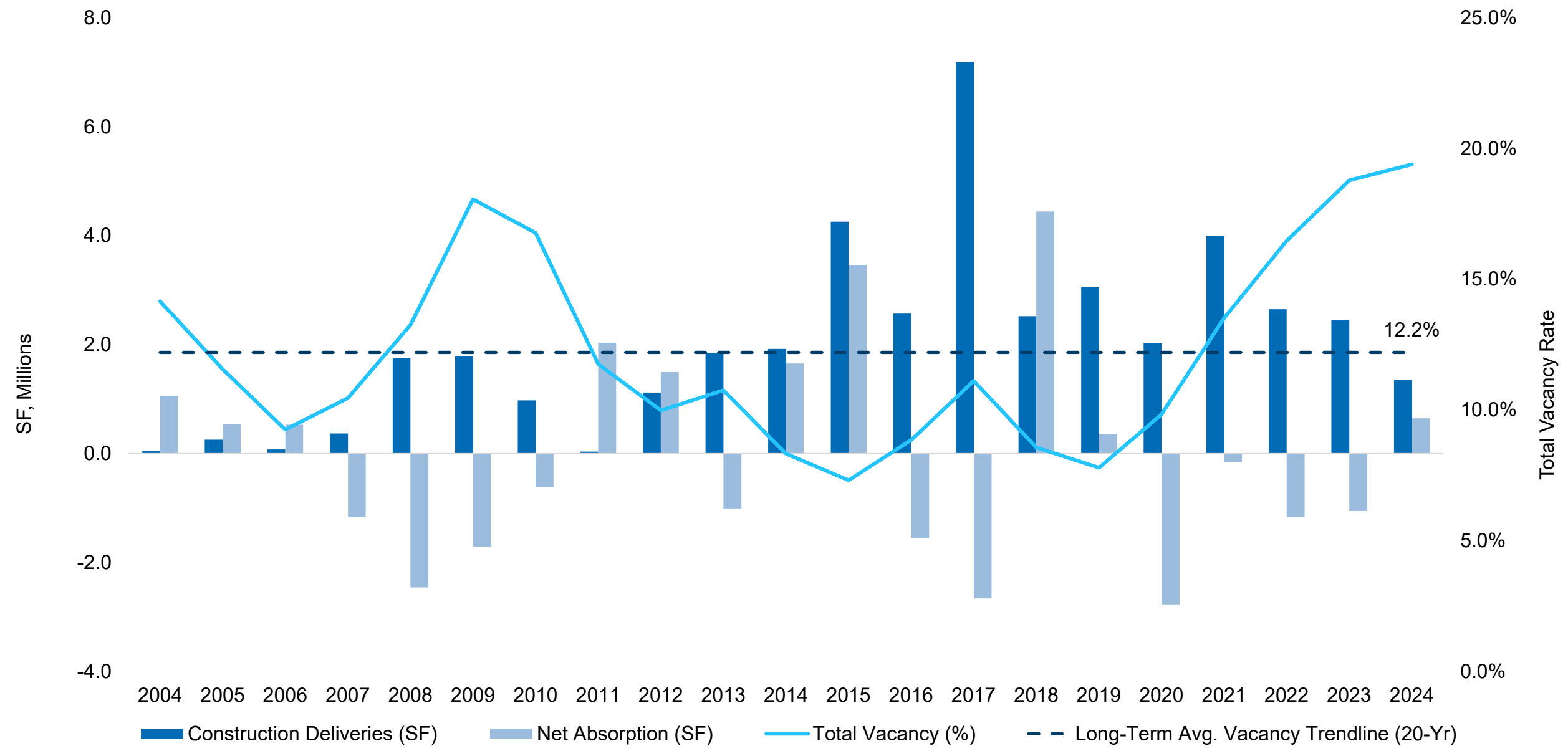
Leasing Market Fundamentals



Despite Slower Construction and Positive Net Absorption, Vacancy Rate Inched Up

The large blocks of both direct and sublease space that have been returned to the market, especially from some of the big tech names, pushed the overall vacancy rate up to 19.4% in the second quarter, 60 basis point increase from year-end 2023. Despite this increased in space, net absorption was positive in the first half of the year as the new construction pipeline slowed down to only 1.3 million square feet, well below its ten-year historic average.

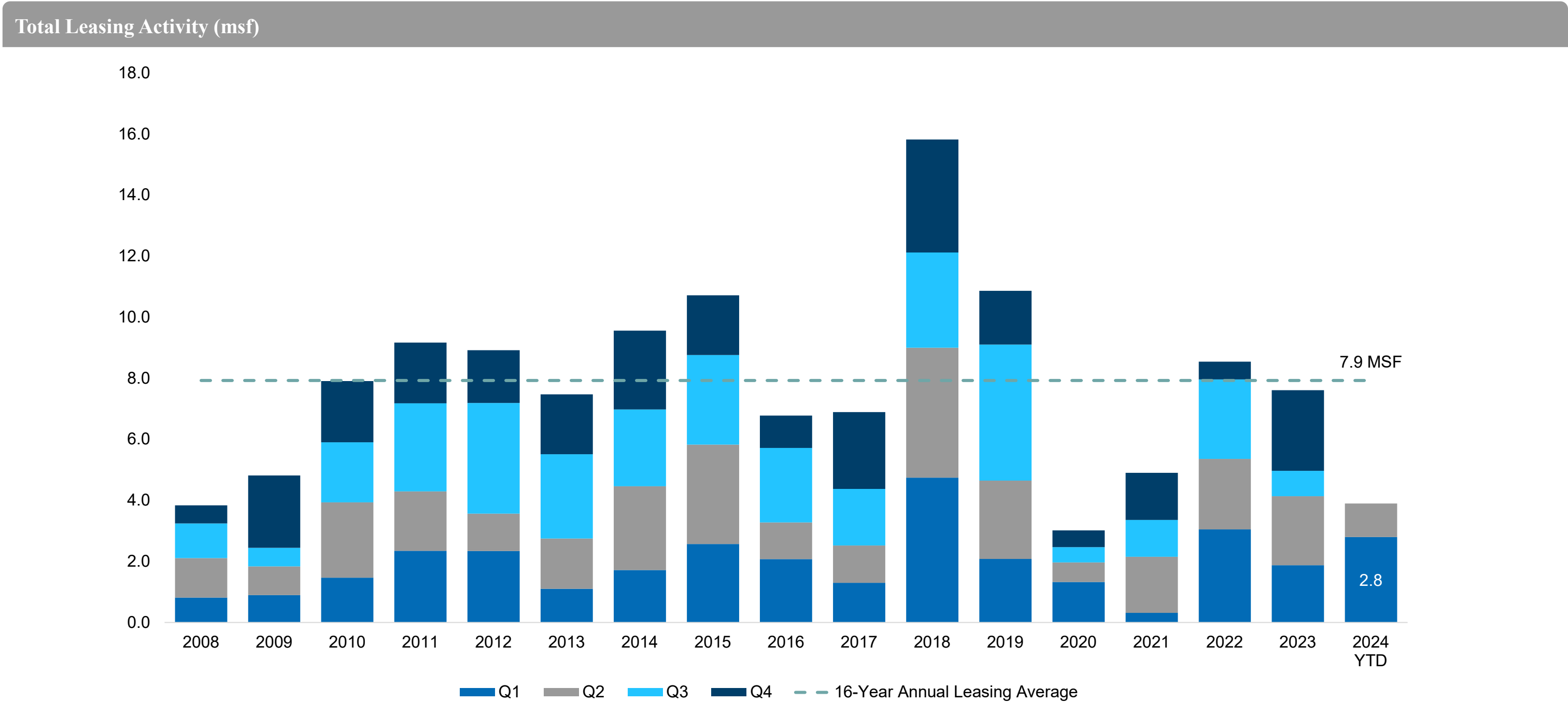
Historical Construction Deliveries, Net Absorption, and Vacancy



Source: Newmark Research

Leasing Activity in First Half of the Year Showed a Possible Inflection Point

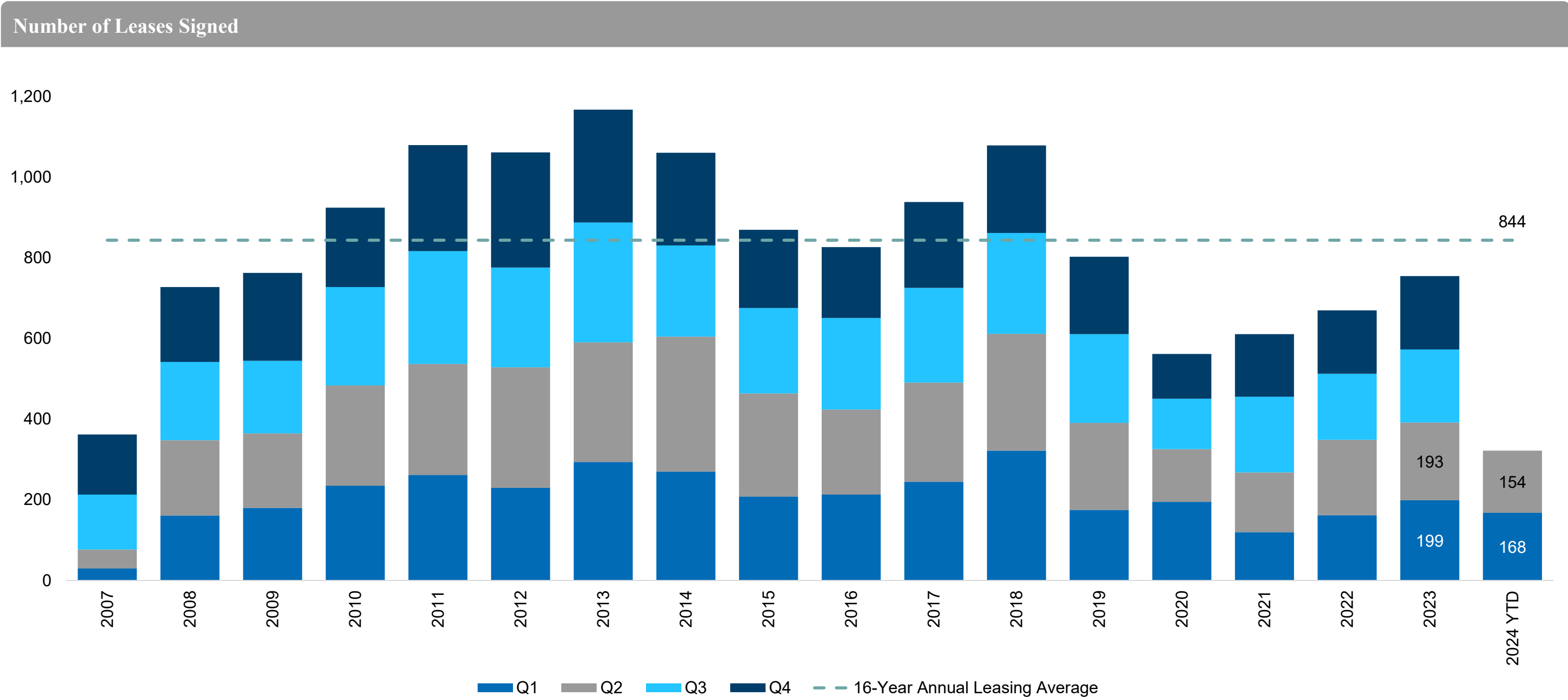
The strong pace of leasing activity in the first quarter, combined with a lower levels in the second quarter, might be enough is to push the total leasing activity for this year close to the 16-year leasing average of 7.9 million square feet. Google leased 1.4 million square feet in Moffett Park that led to the company leasing all six buildings in Moffett Park and Moffett Gateway. While tenant demand is still weak, we are currently tracking at least 15 requirements over 50,000 square feet, of which nine are 100,000 square feet or greater.



Source: Newmark Research, CoStar

Transaction Counts Remain Below Historical Average

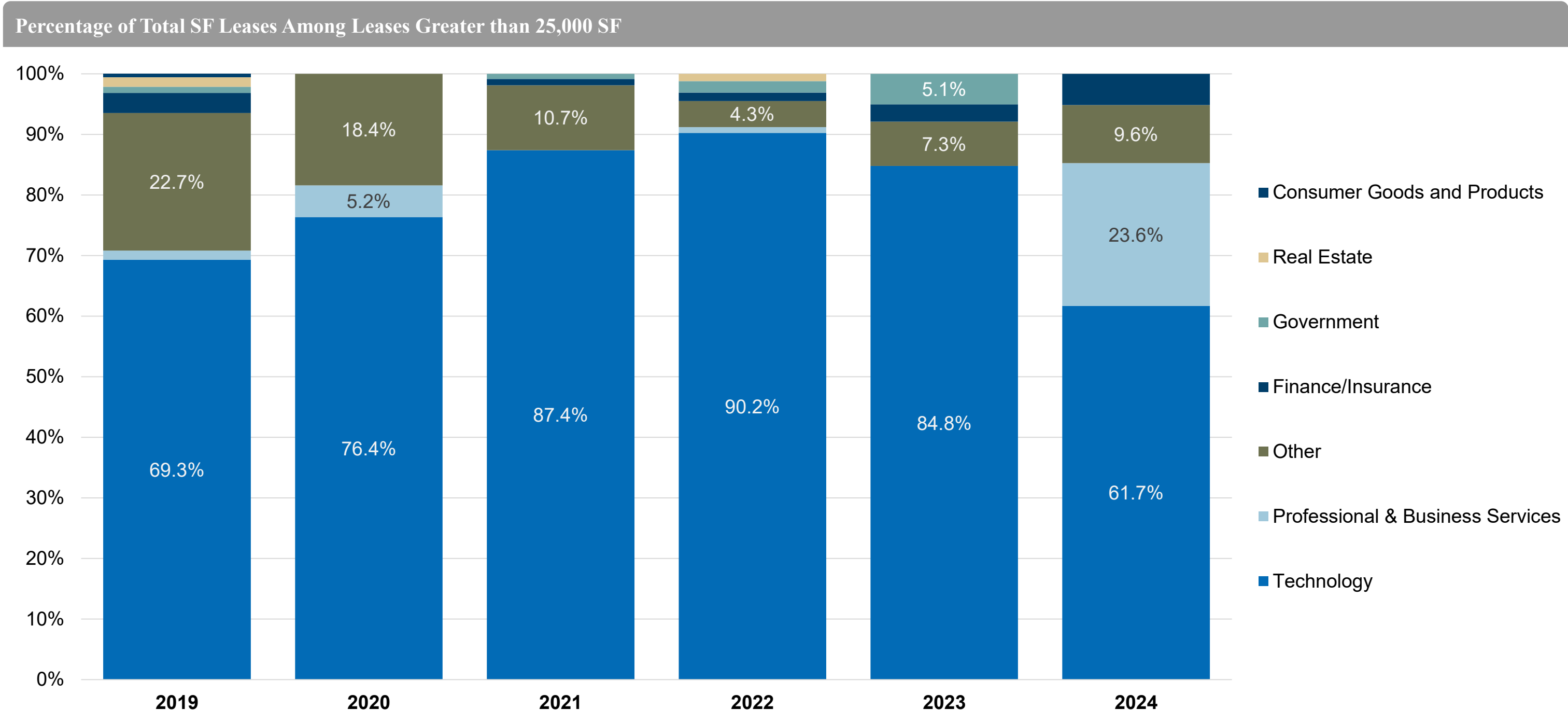
We tracked at least 154 office transaction in the second quarter alone, bringing the total for the first half of the year to more than 300 deals. While there are positive signs in the market that we are at an inflection point, if the pace of activity continued through the second half of the year, leasing activity will still be slightly lower than the 16-year average of nearly 844 deals. In addition, we are currently tracking 4.6 million square feet of active tenants in the market, which is far below the 16-year market average of 8.2 million square feet.



Source: Newmark Research, CoStar

Professional Business Services Stepped Up as a Percentage of the Total Leasing Activity

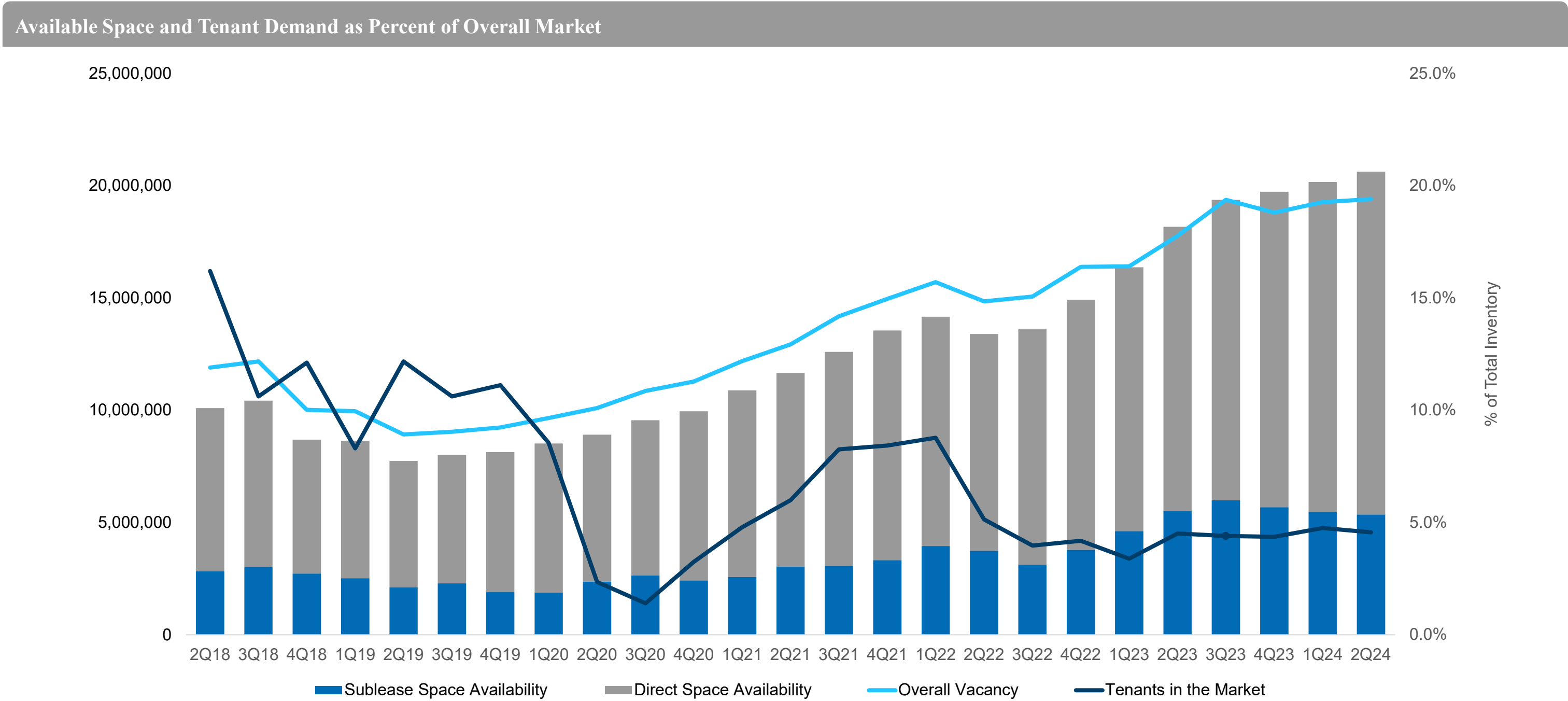
Despite flat employment growth in the Professional & Business Services sector, this sector contributed to a large of leasing large blocks of space in the first half of the year, led by PWC’s ± 141,000 square feet and KPMG’s lease of ±50,000 square feet. The technology sector, while still shedding space in 2024, also contributed to a lease of a large block of space with the semi-conductor company, Allied Materials, signing a direct lease for 154,841 square feet in the Santa Clara – Central Expressway North submarket.



Source: Newmark Research

Amount of Sublease Space Shrinking

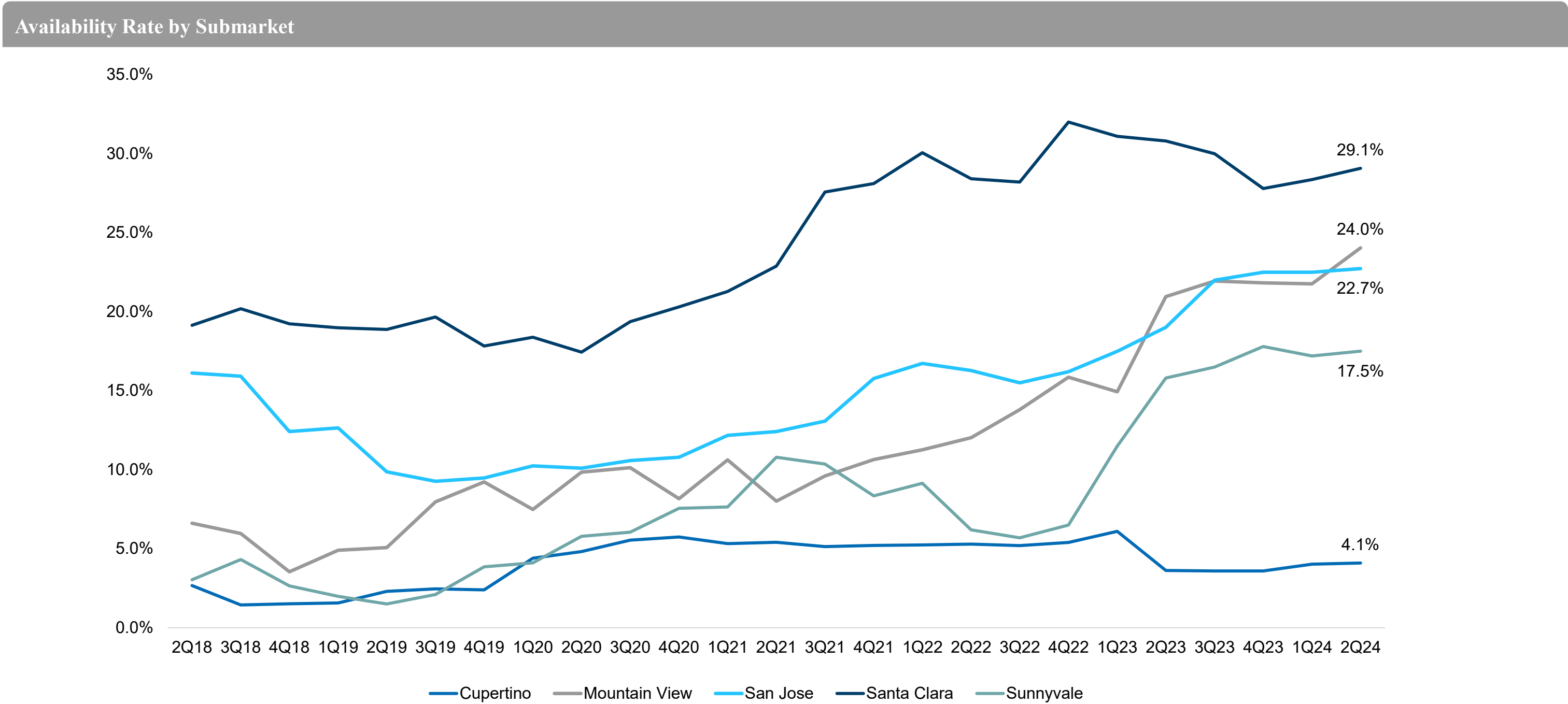
With an increase in direct available space returned to the market in the second quarter, the overall availability rate inched up to 19.4% from 18.8% at year-end 2023. Demand from tenant requirements currently stands of 4.8% of total inventory, basically flat from the first quarter. One positive sign for the market is that the amount of sublease space is dwindling as some tenants in the market are still price sensitive and are snapping up sublease space.



Source: Newmark Research

Mountain View Posted the Largest Increase in the Availability Rate This Quarter

The total availability rate rose across all major submarkets in Silicon Valley during the second quarter of 2024, with Mountain View recording the largest jump. While Cupertino, San Jose, Santa Clara, and Sunnyvale reported a slight increase in the total vacancy rate of less than 100 basis points, Mountain View's rate rose to 24.0%, an increase of 230 basis points. Since the beginning of the Pandemic, Mountain View has posted the largest jump in the vacancy rate, climbing from a low of 7.5% up to 24.0%.

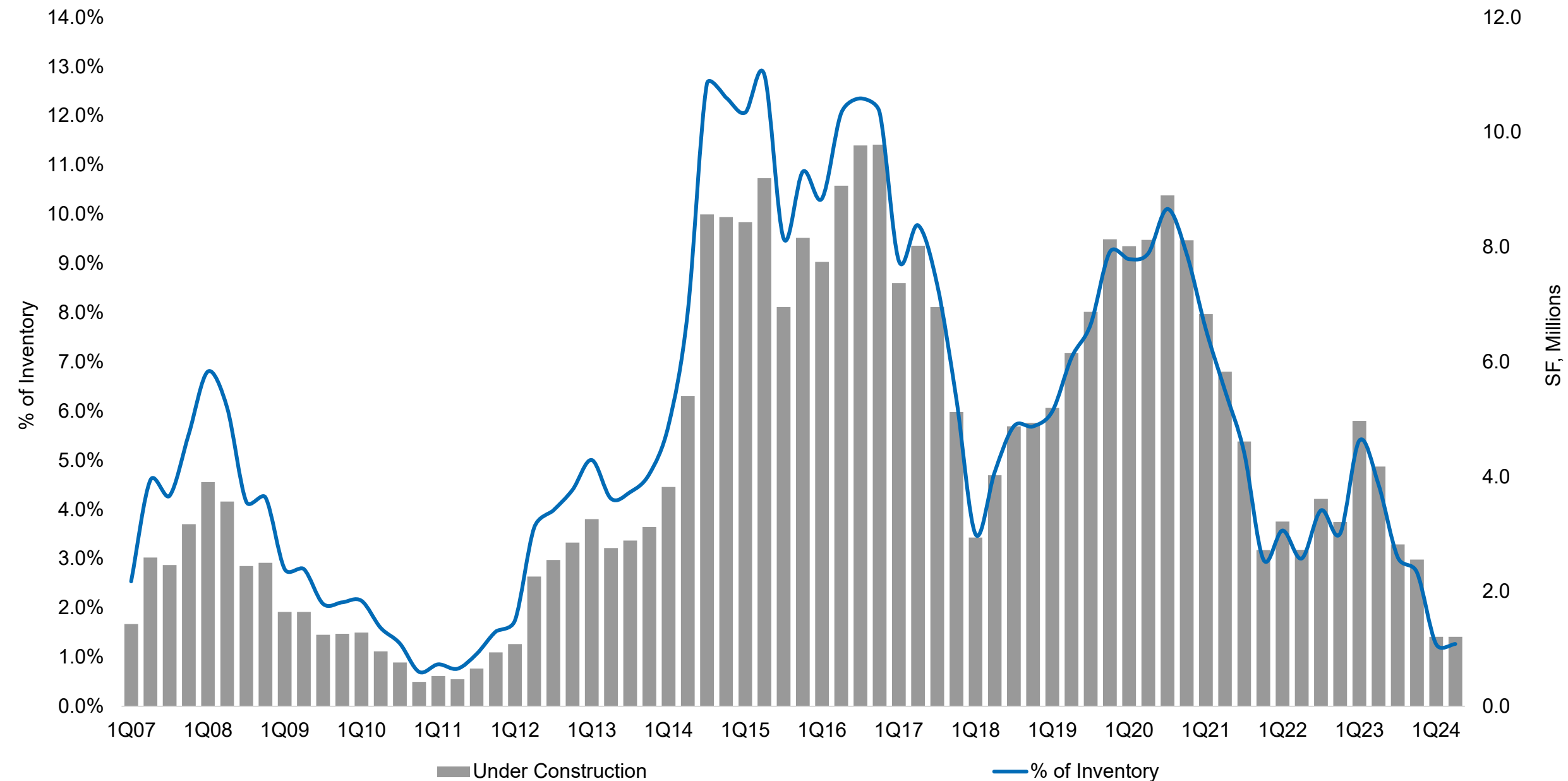


Source: Newmark Research

Construction Pipeline Tempered Down, Which Bodes Well for the Market

One positive sign for the market is that the new construction spigot has nearly been turned off, with the amount under construction at the lowest level it has been at for more than ten years. In addition to developers holding off on starting new projects until tenant demand returns, the tight capital market with high borrowing costs are also dampening the construction starts. Given the glut of available office space and the move to hybrid-work/office model, some developers have proposed converting older office buildings into residential buildings.

Office Under Construction and % of Inventory

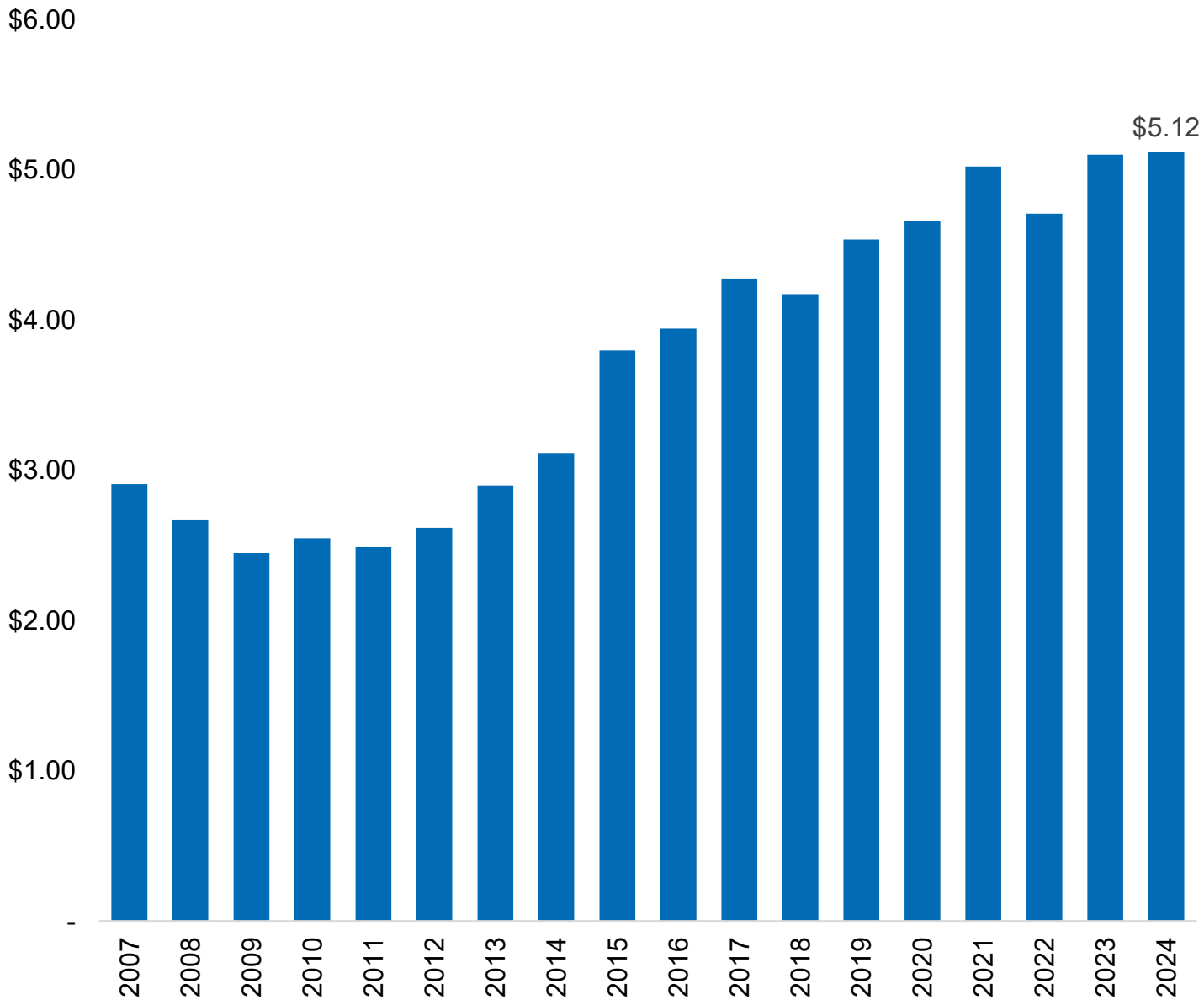


Source: Newmark Research, CoStar, San Jose-Santa Clara-Sunnyvale MSA

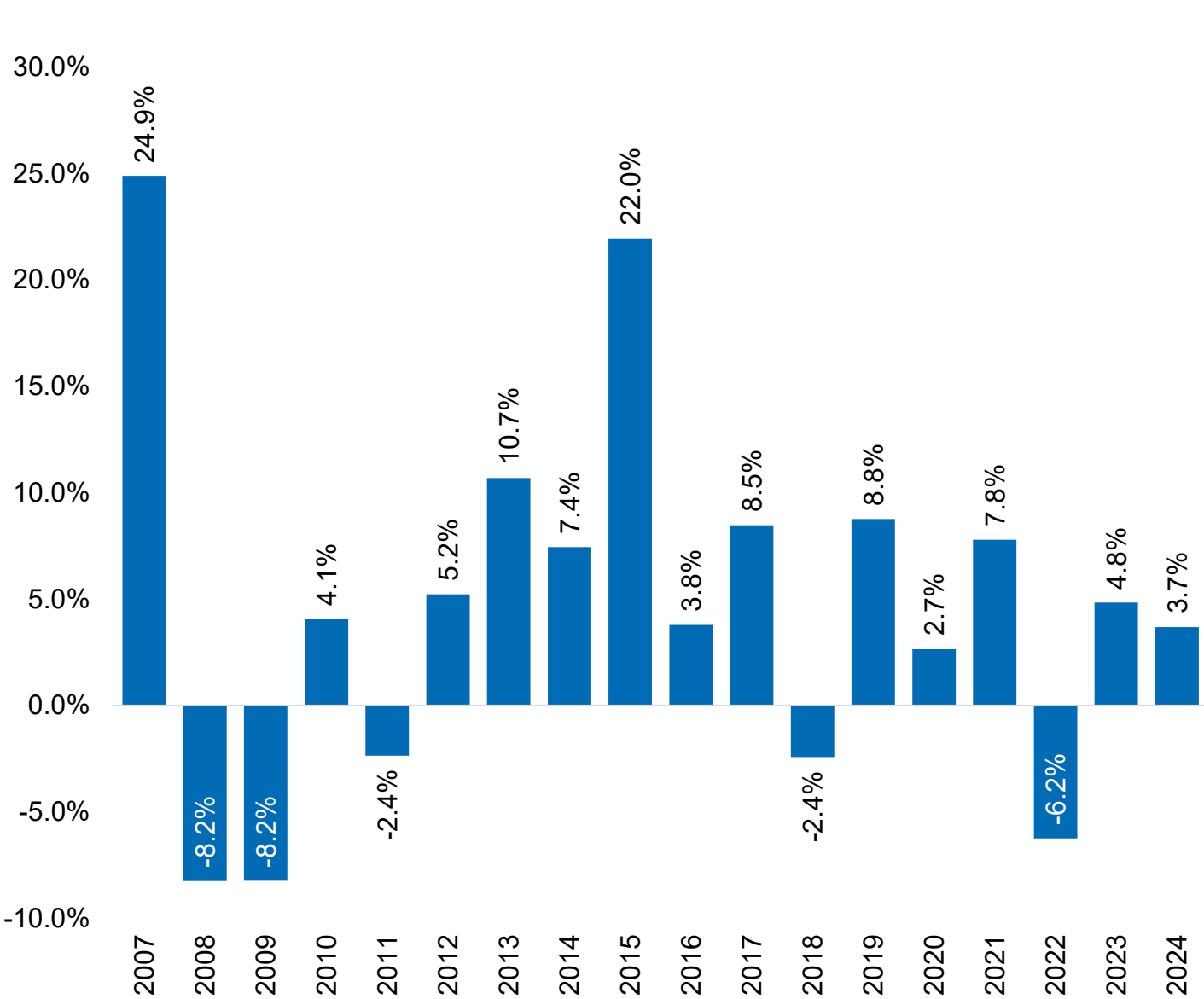
Asking Rents Have Held Relatively Stable so Far This Year

After springing up in 2023 to \$5.10/SF full service, asking rents have basically held steady in the second quarter of 2024 at \$5.12/SF full service. Concessions, including Tis and free rent, still play a big part in lease negotiations. In addition, as companies continue to look for ways to bring employees back to the office, amenities continue to also play a big role in attracting people back. These amenities include flexible workspaces, more conference rooms, natural light and open spaces, and advanced infrastructure.

Office Average Asking Rent, \$/SF, FS



Year-over-Year Asking Rent Growth Rate

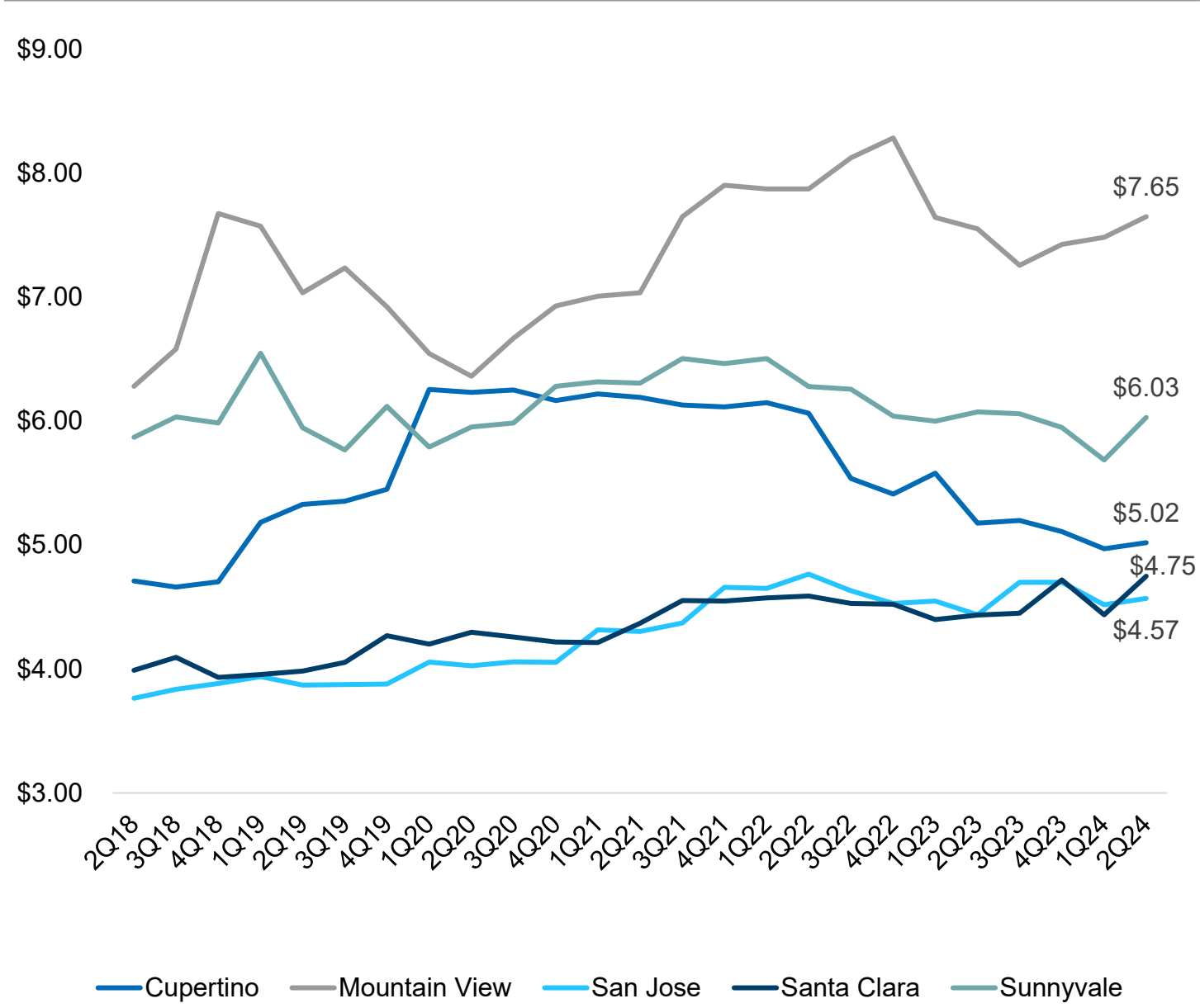


Source: Newmark Research, CoStar

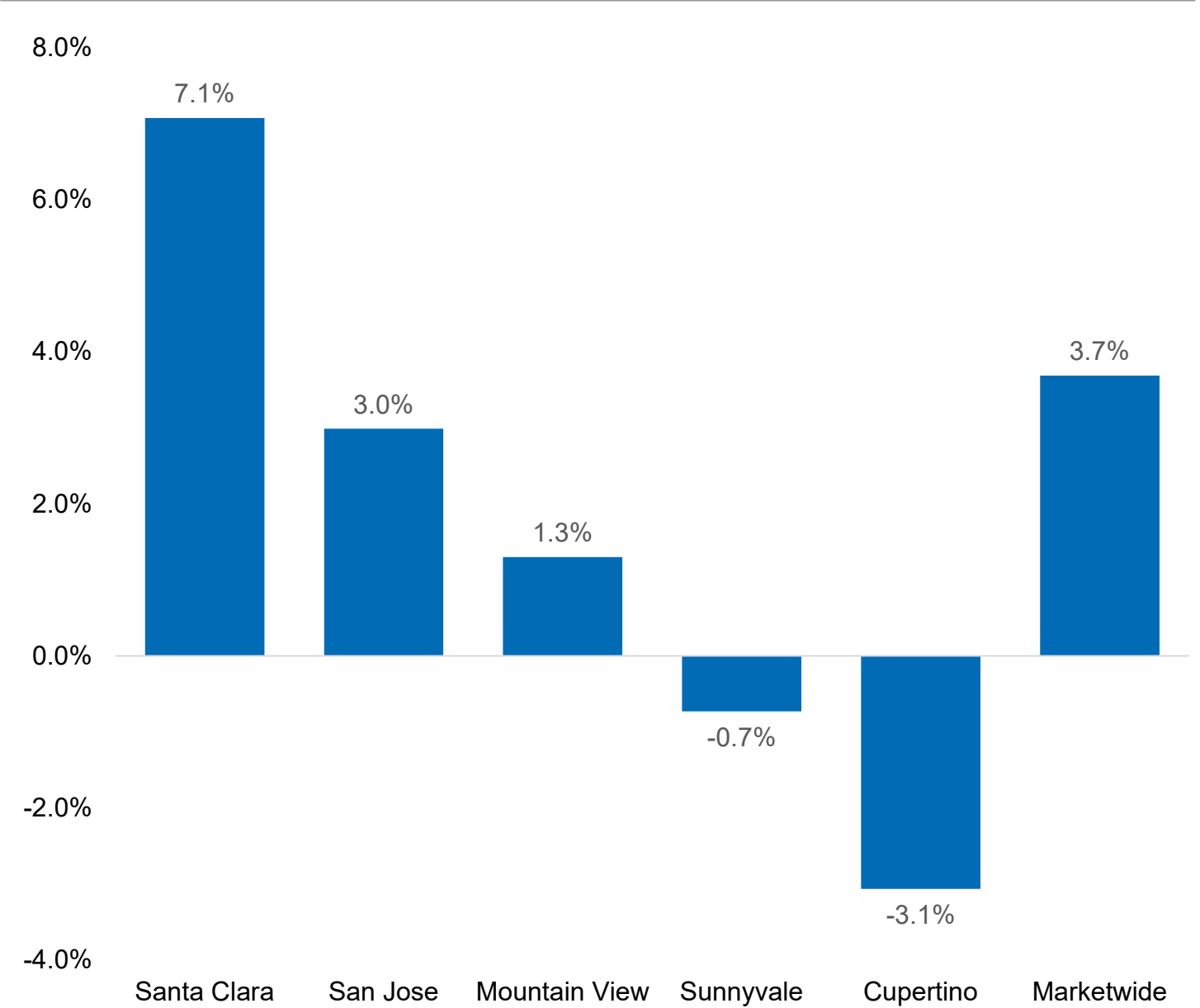
Rent Growth Varies Across Submarkets

Strong rental rate growth of 7.1% in the Santa Clara submarket helped bring year-over-year asking rent growth for the entire Silicon Valley up by 3.7%. In fact, Santa Clara was at its highest rent levels in at least six years whereas Sunnyvale was close to its lowest level. Asking rents increased modestly in Mountain View and San Jose. Rental rates in Cupertino and Sunnyvale shrank year-over-year. With the amount of available space on the market shrinking, rental rates are expected to hold relatively stable throughout this year.

Asking Rent by Submarket



Year-over-Year Percent Change in Asking Rate

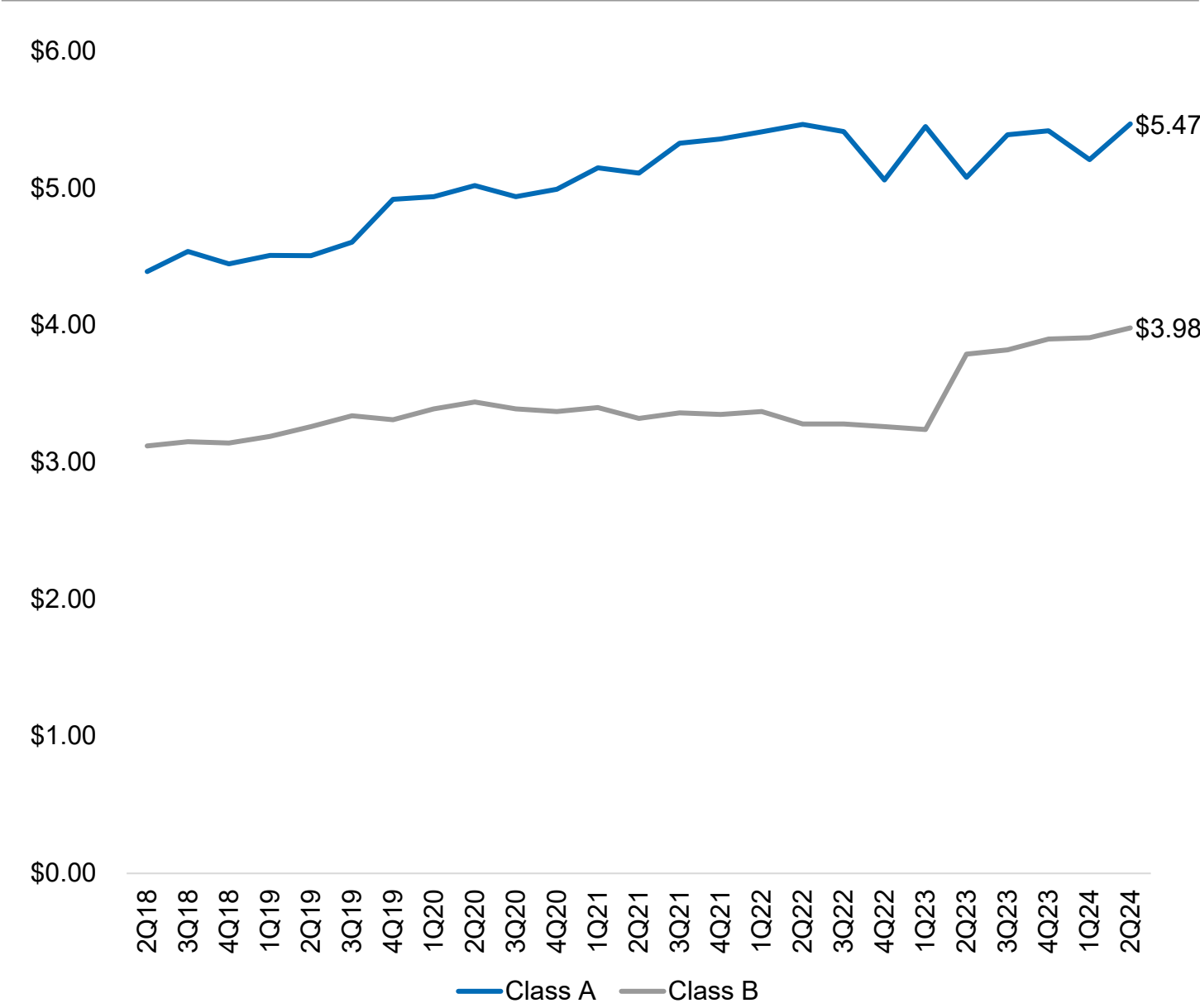


Source: Newmark Research

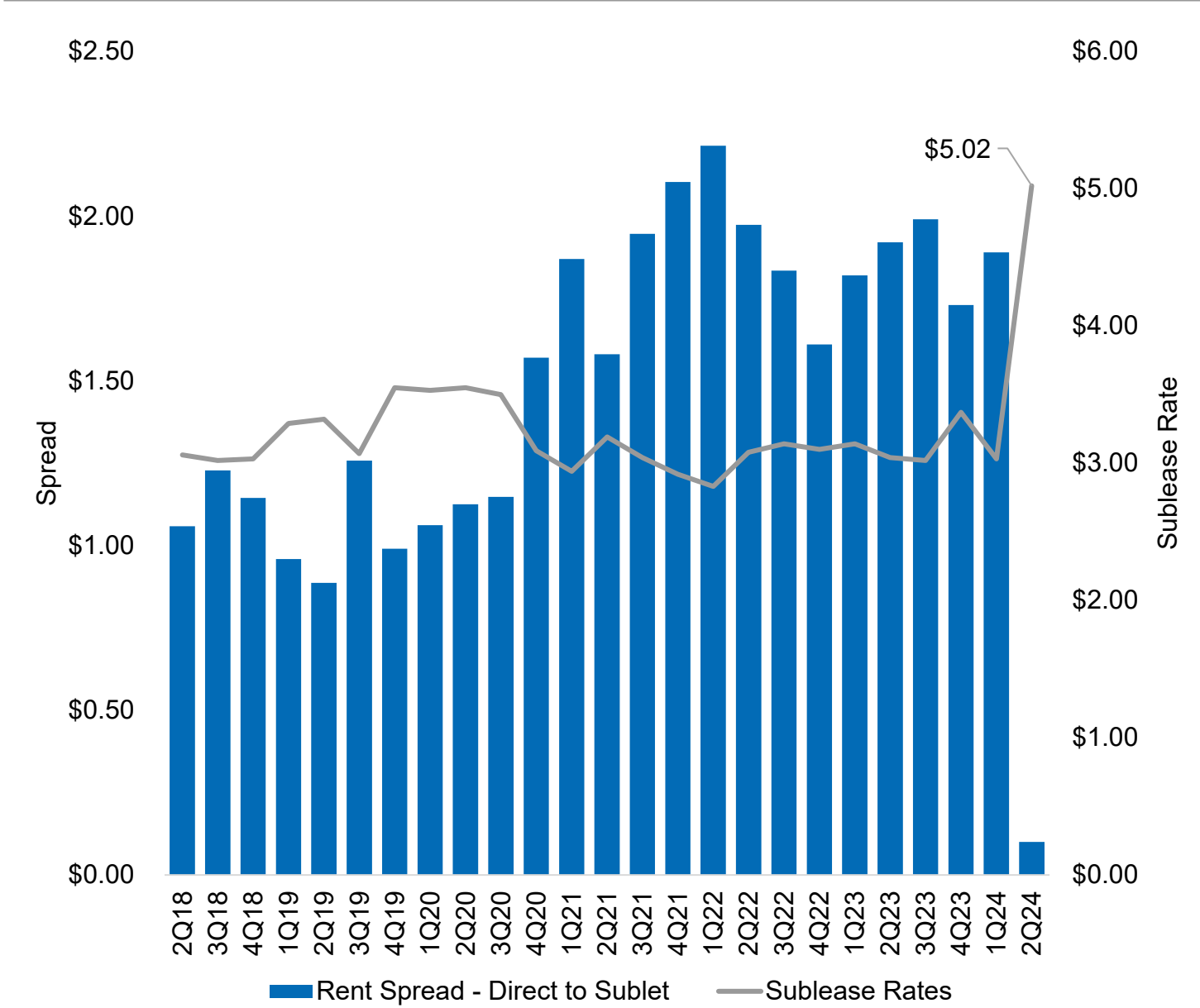
Class A Rents Actually Inched Up

Overall class A rents reached their highest level in more than ten years to \$5.48/SF, a 5.3% increase from the previous quarter and nearly 3.0% from the same time last year. Leading the growth was the Sunnyvale submarket that had the largest increase of all the submarkets with a 7.0% increase from the first quarter. Santa Clara and Mountain View also posted healthy rental rate growth in the second quarter as demand picked up for class A space in these submarkets. Asking rent growth for class B space was still positive.

Class A and Class B Asking Rents



Sublease Rates



Source: Newmark Research, CoStar

A Few Large Direct Deals Were Inked in the Second Quarter

A semiconductor company accounted for the largest lease in the second quarter in the Santa Clara submarket, which was slightly larger than the largest lease in the first quarter. One noteworthy trend for the first half of 2024 is that the bulk of the leases signed, nearly 50%, were for direct space whereas this past two years renewals comprised most of the activity. Subleases continue to play a role in this market with a glut of sublease space returned to the market over the past few years after tech firms in the area are shrinking their footprint.

Notable 2Q24 Lease Transactions

Tenant	Building(s)	Submarket	Type	Square Feet
Applied Materials	3325 Scott Boulevard	Santa Clara – Central Expressway North	Lease Renewal	154,841
Lease Renewal. Applied Materials occupied 4 floors (Floor 1-4)				
Indie Semiconductor Inc	181 Metro Drive	San Jose – Airport	Direct Lease	23,135
New Lease. Indie Semiconductor’s first location in the Bay Area, making this their second location in California and the fifth in the United States.				
Confidential	2160 Lundy Avenue	San Jose – International Bus Park	Lease Expansion	22,629
Lease Expansion. Occupied by confidential tenant.				
Sutter Health	6399 San Ignacio Avenue	San Jose – South	Lease Renewal	20,509
Lease Renewal. Sutter Health, one of the nation’s leading healthcare with a presence in the Valley, renewed in their facility in San Jose.				
AESC	2350 Mission College Boulevard	Santa Clara – Marriott Park	Direct Lease	20,133
New Lease. AESC leased a ±20,133 SF space in the same building it was subleasing before.				

Source: Newmark Research

2Q24

Appendix



Silicon Valley Office Overview (page 1 of 3)

Submarket Statistics – All Classes

	Total Inventory (SF)	Total Vacancy Rate	Total Available (SF)	Sublease Available (SF)	Total Availability Rate	Qtr Net Absorption (SF)	Qtr Gross Absorption (SF)	Total FS Asking Rent (Price/SF)
Campbell	2,321,587	31.4%	527,886	210,745	34.8%	10,629	80,038	\$4.35
Cupertino	7,154,649	3.4%	292,778	9,567	4.1%	-16,371	8,910	\$5.02
Los Gatos	1,980,570	14.2%	340,801	190,751	17.2%	6,258	17,340	\$4.02
Milpitas	1,087,444	19.4%	215,065	7,000	19.8%	17,452	42,791	\$2.75
East 880	926,155	16.5%	156,260	7,000	16.9%	11,192	39,678	\$2.74
Oak Creek	161,289	36.5%	58,805	0	36.5%	6,260	3,113	\$2.77
Mountain View	11,368,914	20.1%	2,733,243	1,088,138	24.0%	-50,565	45,117	\$7.62
Downtown	1,682,583	30.5%	710,543	204,133	42.2%	1,792	26,792	\$9.40
Central Expressway	417,339	22.4%	103,633	9,991	24.8%	-20,506	475	\$6.18
Shoreline	5,281,502	0.4%	20,565	0	0.4%	-2,797	2,580	\$3.54
South Middlefield	2,577,628	42.0%	1,295,175	607,057	50.2%	-31,929	0	\$7.35
El Camino Corridor	1,409,862	41.0%	603,327	266,957	42.8%	2,875	15,270	\$6.06
San Jose	33,658,172	20.7%	7,649,018	1,030,568	22.7%	67,583	508,889	\$4.57
Downtown	12,070,094	28.5%	3,599,265	283,388	38.7%	-28,220	114,383	\$4.75
Airport	5,259,186	30.7%	1,923,404	303,157	38.6%	40,550	176,496	\$4.12
East	39,880	1.9%	751	0	1.9%	0	0	-
International Bus Park	625,311	1.5%	9,091	2,430	1.5%	1,893	25,151	\$2.86
North	8,340,665	11.3%	1,022,860	251,723	12.3%	5,834	18,064	\$4.57
Trimble South	2,843,565	14.5%	470,039	50,144	16.5%	38,138	67,614	\$4.27
South	525,640	2.1%	33,766	0	6.4%	0	20,509	\$2.43
West	3,953,831	13.5%	589,842	139,726	14.9%	9,388	86,672	\$4.94

Source: Newmark Research

Silicon Valley Office Overview (page 2 of 3)

Submarket Statistics – All Classes

	Total Inventory (SF)	Total Vacancy Rate	Total Available (SF)	Sublease Available (SF)	Total Availability Rate	Qtr Net Absorption (SF)	Qtr Gross Absorption (SF)	Total FS Asking Rent (Price/SF)
Santa Clara	16,533,815	26.7%	4,807,280	1,369,104	29.1%	-28,503	339,623	\$4.75
Downtown	679,503	8.1%	69,761	12,922	10.3%	-11,084	1,820	\$2.94
101 North	1,109,628	45.4%	520,273	0	46.9%	17,130	14,420	\$2.85
101 South	2,083,702	6.8%	141,608	0	6.8%	0	0	-
Central Expressway N	4,150,423	11.0%	589,864	305,171	14.2%	-10,399	202,015	\$4.99
Central Expressway S	508,869	14.4%	73,311	0	14.4%	2,479	5,598	\$4.00
Marriott Park	8,001,690	39.7%	3,412,463	1,051,011	42.6%	-26,629	115,770	\$4.84
Saratoga	315,184	14.1%	87,534	3,795	27.8%	171	7,263	\$3.15
Sunnyvale	21,089,677	15.9%	3,691,550	1,453,779	17.5%	16,479	88,814	\$6.03
Downtown	1,527,426	39.6%	757,566	160,761	49.6%	-53,725	8,855	\$8.13
Moffett Park	12,308,577	15.0%	1,843,006	846,491	15.0%	0	3,928	\$5.08
Oakmead	1,468,732	20.6%	302,350	0	20.6%	-5,828	76,031	\$4.57
Peery Park	5,020,779	10.1%	690,184	357,603	13.7%	76,032	0	\$7.19
South Central	735,131	13.4%	98,444	88,924	13.4%	0	0	\$3.45
The Woods	29,032	0.0%	0	0	0.0%	0	0	-
Silicon Valley	95,510,012	19.4%	20,345,155	5,363,447	21.3%	23,133	1,138,785	\$5.12

Source: Newmark Research

Silicon Valley Office Overview (page 3 of 3)

Submarket Statistics – Class A

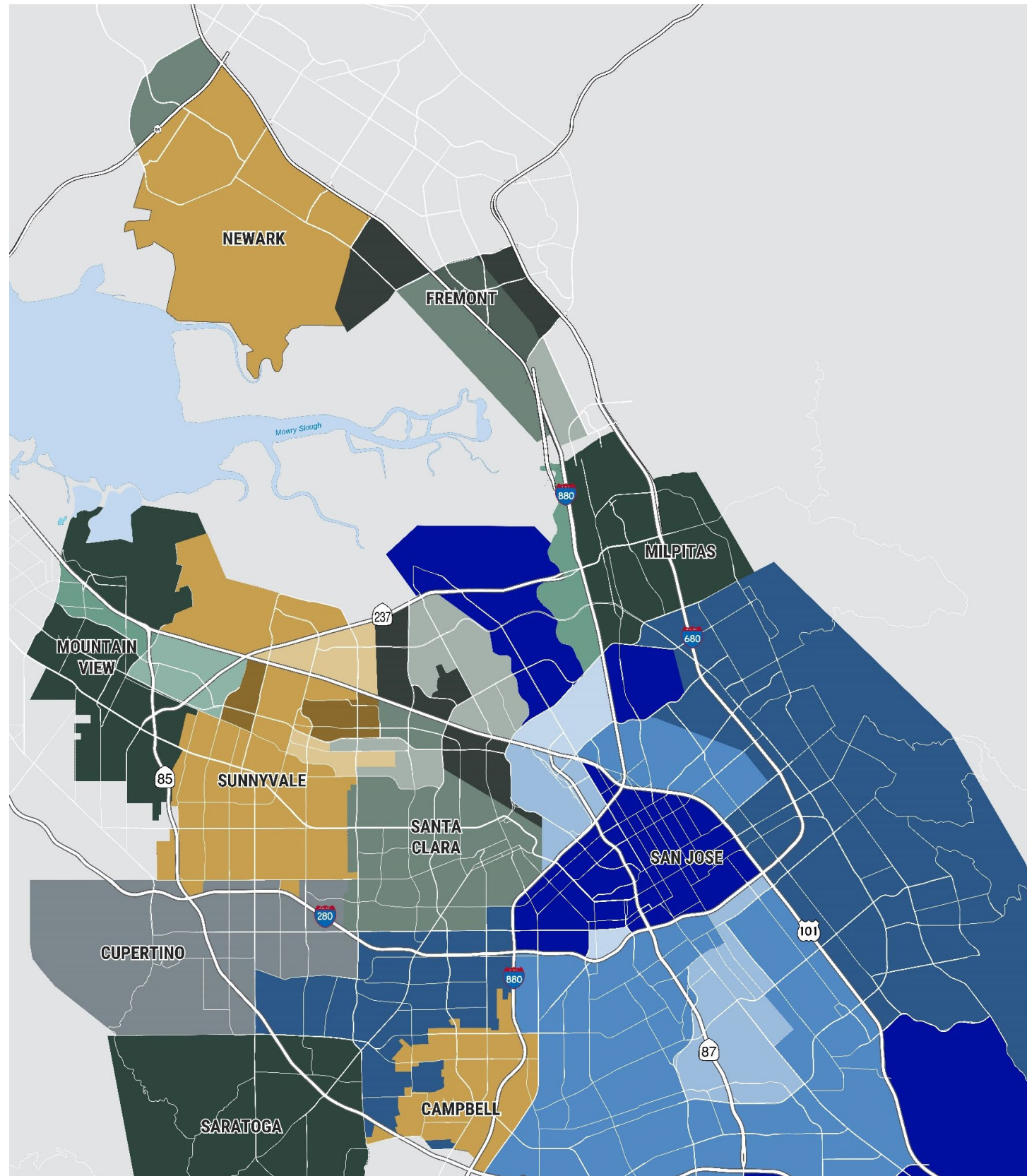
	Total Inventory (SF)	Total Vacancy Rate	Total Available (SF)	Sublease Available (SF)	Total Availability Rate	Qtr Net Absorption (SF)	Qtr Gross Absorption (SF)	Total FS Asking Rent (Price/SF)
Silicon Valley	72,129,721	20.5%	14,455,832	5,031,474	20.0%	16,299	648,198	\$5.47
Campbell	1,086,096	44.1%	527,886	202,609	48.6%	8,134	56,803	\$4.84
Cupertino	6,098,707	1.6%	99,320	0	1.6%	-9,419	0	\$5.96
Los Gatos	797,110	22.6%	185,307	171,672	23.2%	587	0	\$4.24
Milpitas	459,657	39.3%	180,430	0	39.3%	0	8,791	\$2.67
Mountain View	9,333,767	22.2%	2,489,092	1,067,663	26.7%	-35,082	21,847	\$7.98
San Jose	21,909,502	24.0%	5,695,220	834,554	26.0%	61,683	219,279	\$4.90
Santa Clara	12,302,870	26.7%	1,669,107	1,301,197	29.6%	-39,278	252,934	\$4.95
Saratoga	101,044	28.3%	71,546	0	70.8%	0	5,443	-
Sunnyvale	20,040,968	16.1%	3,537,924	1,453,779	17.7%	29,674	83,101	\$6.13

Submarket Statistics – Class B

	Total Inventory (SF)	Total Vacancy Rate	Total Available (SF)	Sublease Available (SF)	Total Availability Rate	Qtr Net Absorption (SF)	Qtr Gross Absorption (SF)	Total FS Asking Rent (Price/SF)
Silicon Valley	18,906,990	18.0%	3,825,452	318,907	20.2%	56,245	466,279	\$4.00
Campbell	949,032	24.6%	262,732	8,136	27.7%	-2,076	16,404	\$3.82
Cupertino	792,030	14.1%	148,805	9,567	18.8%	1,114	8,445	\$4.51
Los Gatos	840,824	10.5%	132,982	19,079	15.8%	4,459	15,040	\$3.96
Milpitas	443,843	4.6%	24,000	7,000	5.4%	13,784	34,000	\$3.70
Mountain View	1,980,808	10.9%	239,355	20,475	12.1%	-14,422	23,270	\$5.50
San Jose	9,165,006	16.4%	1,719,543	182,948	18.8%	48,596	280,968	\$3.79
Santa Clara	3,734,340	29.7%	1,147,421	67,907	30.7%	17,814	83,439	\$3.78
Saratoga	150,590	6.3%	9,542	3,795	6.3%	531	1,520	\$3.10
Sunnyvale	850,517	13.2%	141,072	0	16.6%	-13,555	3,193	\$4.80

Source: Newmark Research

Silicon Valley - Submarket Map



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